

RRC ACADEMY – SCHOOL OF LAW

CLAT PG SAMPLE QUESTION PAPER – 01

100 MCQs WITH ANSWER & SOLUTION AFTER EVERY QUESTION

Based on the structure, style, legal themes and passage-based approach of the attached CLAT PG 2023 LL.M. question paper.

The attached paper is an actual **CLAT PG 2023 LL.M. Programme** paper. It contained **120 MCQs for 120 marks, 2 hours, with 0.25 negative marking for a wrong answer.**

The original paper uses **long legal passages followed by multiple questions testing application, interpretation, case law and statutory understanding**, rather than simple one-line memory questions. For example, the paper uses passages on constitutional law, ordinances, property/mineral rights, labour law, FIR procedure, electronic evidence, jurisprudence, insider trading, contract interpretation, trademark law and CSR.

This 100-question paper is an ORIGINAL RRC Academy practice paper inspired by that previous-paper pattern. It is not a reproduction of the copyrighted CLAT 2023 questions.

PART I — CONSTITUTIONAL LAW

Passage 1 — Constitutional Morality, Equality & Religious Freedom

Indian constitutional adjudication increasingly examines the relationship between individual dignity, equality and religious freedom. Fundamental rights are not always understood in isolation. Where a religious or customary practice affects an individual's dignity or equality, courts may examine whether the practice is protected by the Constitution and whether constitutional limitations apply.

The Constitution guarantees equality before law and equal protection of laws under Article 14. Article 15 prohibits discrimination on specified grounds, while Article 21 protects life and personal liberty. Article 25 protects freedom of conscience and the free profession, practice and propagation of religion, subject to constitutional limitations.

Question 1

Which Article guarantees equality before law and equal protection of laws?

- A. Article 12
- B. Article 14
- C. Article 19
- D. Article 21

Answer: B — Article 14

Solution: Article 14 guarantees equality before law and equal protection of laws. It permits reasonable classification but prohibits arbitrary discrimination.

Question 2

Article 19 primarily guarantees certain freedoms to:

- A. Every person
- B. Citizens
- C. Foreign nationals only
- D. Corporations only

Answer: B — Citizens

Solution: The freedoms under Article 19 are constitutionally guaranteed to **citizens**.

Question 3

Article 21 protects:

- A. Property ownership
- B. Freedom of religion alone
- C. Life and personal liberty
- D. Freedom of trade alone

Answer: C — Life and personal liberty

Solution: Article 21 provides that no person shall be deprived of life or personal liberty except according to procedure established by law.

Question 4

The doctrine that Parliament cannot destroy the basic features of the Constitution is called:

- A. Doctrine of eclipse
- B. Basic Structure Doctrine
- C. Doctrine of severability
- D. Doctrine of pith and substance

Answer: B — Basic Structure Doctrine

Solution: The Basic Structure Doctrine was established by the Supreme Court in **Kesavananda Bharati v. State of Kerala (1973)**.

Question 5

The Basic Structure Doctrine primarily limits:

- A. Judicial power
- B. Executive power
- C. Parliament's constitutional amending power
- D. Election Commission's power

Answer: C — Parliament's constitutional amending power

Solution: Parliament can amend the Constitution under Article 368, but it cannot alter or destroy its basic structure.

Question 6

Article 25 is subject to:

- A. Public order, morality and health
- B. Taxation alone
- C. Parliamentary privilege
- D. Emergency only

Answer: A — Public order, morality and health

Solution: Article 25 expressly makes religious freedom subject to **public order, morality and health**, along with other constitutional provisions.

Question 7

Which case is particularly associated with the expansion of Article 21?

- A. Maneka Gandhi v. Union of India
- B. A.K. Gopalan v. State of Madras
- C. Shankari Prasad v. Union of India
- D. Berubari Union

Answer: A — Maneka Gandhi v. Union of India

Solution: *Maneka Gandhi* expanded Article 21 and emphasised fairness, reasonableness and the relationship between Articles 14, 19 and 21.

Question 8

Article 32 provides:

- A. Right to property
- B. Constitutional remedies

- C. Freedom of speech
- D. Right to education

Answer: B — Constitutional remedies

Solution: Article 32 enables a person to approach the Supreme Court for enforcement of Fundamental Rights.

Question 9

Which writ is principally concerned with unlawful detention?

- A. Mandamus
- B. Certiorari
- C. Habeas Corpus
- D. Quo Warranto

Answer: C — Habeas Corpus

Solution: Habeas Corpus enables the court to examine the legality of a person's detention.

Question 10

Which of the following is a feature of the Indian Constitution?

- A. Absolute parliamentary sovereignty
- B. Judicial review
- C. Complete separation of judiciary and executive
- D. Absence of Fundamental Rights

Answer: B — Judicial review

Solution: Indian constitutional courts possess the power of judicial review to examine unconstitutional legislative and executive action.

PART II — CONSTITUTIONAL LAW

Passage 2 — Ordinance-Making Power

The Governor may promulgate an Ordinance under Article 213 when the legislature is not in session and circumstances exist making immediate action necessary. An Ordinance has the force and effect of an Act of the State Legislature, subject to constitutional limitations.

The attached CLAT PG 2023 paper specifically tested Article 213, including the requirement that an Ordinance be laid before the legislature and the consequences of the legislature's reassembly.

Question 11

The Governor's power to promulgate an Ordinance is contained in:

- A. Article 123
- B. Article 213
- C. Article 356
- D. Article 360

Answer: B — Article 213

Solution: Article 213 deals with the Governor's Ordinance-making power.

Question 12

The President's Ordinance-making power is contained in:

- A. Article 123
- B. Article 213
- C. Article 352
- D. Article 368

Answer: A — Article 123

Solution: Article 123 empowers the President to promulgate Ordinances when Parliament is not in session and constitutional conditions are satisfied.

Question 13

An Ordinance promulgated by the Governor must be laid before:

- A. Supreme Court
- B. Parliament
- C. State Legislature
- D. Election Commission

Answer: C — State Legislature

Solution: Article 213 requires the Ordinance to be laid before the State Legislature.

Question 14

An Ordinance normally ceases to operate after:

- A. Six days from promulgation
- B. Six weeks from reassembly of the legislature
- C. Six months from promulgation in every case
- D. One year automatically

Answer: B

Solution: An Ordinance ceases to operate **six weeks after the reassembly of the legislature**, subject to the constitutional framework.

Question 15

An Ordinance may also cease to operate when:

- A. The legislature passes a resolution disapproving it
- B. A private citizen objects to it
- C. The media criticises it
- D. A district court disagrees with it

Answer: A

Solution: Legislative disapproval can result in the Ordinance ceasing to operate.

Question 16

Re-promulgation of Ordinances merely to avoid legislative consideration was strongly criticised in:

- A. D.C. Wadhwa v. State of Bihar
- B. Kesavananda Bharati
- C. Golaknath
- D. Vishaka

Answer: A — D.C. Wadhwa

Solution: The Supreme Court characterised repeated re-promulgation as a **fraud on the Constitution.**

Question 17

The satisfaction required for promulgating an Ordinance is:

- A. Completely immune from judicial review
- B. Subject to judicial review on recognised grounds
- C. Determined by Parliament
- D. Determined by the Supreme Court before promulgation

Answer: B

Solution: The constitutional satisfaction is not an absolute shield against judicial review.

Question 18

The Ordinance-making power is intended primarily to address:

- A. Ordinary legislative convenience
- B. Urgent situations requiring immediate action when the legislature is not in session
- C. Judicial vacancies
- D. Election disputes

Answer: B

Solution: Ordinance power is an exceptional legislative mechanism intended for situations requiring immediate action.

Question 19

An Ordinance is:

- A. Merely an executive circular
- B. A form of law having statutory force subject to constitutional requirements
- C. A judicial judgment
- D. A private contract

Answer: B

Solution: An Ordinance has the force and effect of an Act, subject to the Constitution.

Question 20

Which principle is most relevant when the executive repeatedly avoids placing an Ordinance before the legislature?

- A. Separation of powers
- B. Privity of contract
- C. Res judicata
- D. Caveat emptor

Answer: A — Separation of powers

Solution: Repeated Ordinance-making can undermine the legislature's constitutional law-making role, raising separation-of-powers concerns.

PART III — PROPERTY LAW

Passage 3 — Mineral Rights & Ownership

The CLAT PG 2023 paper considered the distinction between **sovereign authority to regulate or tax mining** and **proprietary ownership of minerals**. The paper referred to *Thressiamma Jacob v. Department of Mining & Geology*.

Question 21

The Transfer of Property Act was enacted in:

- A. 1872
- B. 1882
- C. 1908
- D. 1956

Answer: B — 1882

Solution: The Transfer of Property Act, 1882 governs several transfers of immovable property.

Question 22

A lease under Section 105 of the Transfer of Property Act involves:

- A. Transfer of ownership permanently
- B. Transfer of a right to enjoy immovable property
- C. Transfer of criminal liability
- D. Transfer of citizenship

Answer: B

Solution: Section 105 defines a lease as a transfer of a right to enjoy immovable property for a certain time in consideration of price, rent or other consideration.

Question 23

A mortgage primarily involves:

- A. Transfer of an interest in specific immovable property as security
- B. Absolute sale
- C. Gift without consideration
- D. Lease without possession

Answer: A

Solution: Section 58 defines mortgage as transfer of an interest in specific immovable property for securing a debt or obligation.

Question 24

The doctrine of lis pendens is contained in:

- A. Section 52 TPA
- B. Section 53 TPA
- C. Section 54 TPA
- D. Section 58 TPA

Answer: A — Section 52

Solution: Section 52 embodies the doctrine of **lis pendens**, restricting certain transfers during pending litigation concerning immovable property.

Question 25

The doctrine of part performance is associated with:

- A. Section 51
- B. Section 53A
- C. Section 54
- D. Section 58

Answer: B — Section 53A

Solution: Section 53A provides protection in specified circumstances where a transferee has acted in part performance of a contract.

Question 26

A gift under Section 122 TPA is made:

- A. For consideration
- B. Without consideration
- C. Only through a court
- D. Only by a government

Answer: B — Without consideration

Solution: A gift is a voluntary transfer of certain existing property made without consideration and accepted by or on behalf of the donee.

Question 27

The power to tax mineral extraction necessarily establishes:

- A. Government ownership of every mineral
- B. Proprietary ownership in every case

- C. Sovereign authority to impose taxation
- D. Private ownership of minerals

Answer: C

Solution: The power of taxation is an incident of **sovereign authority**, not necessarily proprietary ownership. This distinction was important in the CLAT 2023 passage.

Question 28

The case *Thressiamma Jacob v. Department of Mining & Geology* primarily concerned:

- A. Copyright
- B. Sub-soil/mineral rights
- C. Divorce
- D. Company incorporation

Answer: B

Solution: The case concerned proprietary rights relating to sub-soil and mineral resources.

Question 29

Bona vacantia broadly refers to:

- A. Property without a lawful owner
- B. Property under mortgage
- C. Leased property
- D. Stolen property

Answer: A

Solution: Bona vacantia refers broadly to ownerless property that may vest in the State according to law.

Question 30

“Escheat” generally relates to property passing to the State because:

- A. The owner has no lawful heir or successor
- B. The property is mortgaged
- C. The property is leased
- D. The property is gifted

Answer: A

Solution: Escheat concerns property devolving upon the State where a person dies without a lawful heir or successor, subject to applicable law.

PART IV — LABOUR LAW & CONSTITUTIONAL LAW

Passage 4 — Emergency Powers & Workers' Rights

The 2023 CLAT PG paper used the Supreme Court's decision in **Gujarat Mazdoor Sabha v. State of Gujarat**, concerning the State's attempt during the COVID-19 period to relax statutory working-hour requirements. The paper reproduced Section 5 of the Factories Act and examined the meaning of “public emergency.”

Question 31

The Factories Act provision discussed in the passage was:

- A. Section 5
- B. Section 10
- C. Section 25
- D. Section 51A

Answer: A — Section 5

Solution: Section 5 dealt with the State Government's power to exempt factories during a statutory “public emergency.”

Question 32

Under the provision discussed, a public emergency required:

- A. Mere economic difficulty
- B. A grave emergency threatening security in the manner specified by law
- C. Every natural disaster
- D. Any industrial dispute

Answer: B

Solution: The statutory definition required a grave emergency threatening security through circumstances specified in the provision.

Question 33

Article 352 currently refers to:

- A. War, external aggression or armed rebellion
- B. War, financial instability or disease
- C. Internal disturbance alone
- D. Industrial disputes

Answer: A

Solution: Following the 44th Amendment, “internal disturbance” was replaced by “**armed rebellion**” in Article 352.

Question 34

The 44th Constitutional Amendment changed the Article 352 terminology from “internal disturbance” to:

- A. Public disorder
- B. Armed rebellion
- C. Civil dispute
- D. Economic emergency

Answer: B — Armed rebellion

Solution: This was one of the important changes introduced by the 44th Amendment.

Question 35

Article 355 imposes a duty upon the Union to protect States against:

- A. External aggression and internal disturbance
- B. Only taxation disputes
- C. Only labour disputes
- D. Only natural disasters

Answer: A

Solution: Article 355 imposes constitutional responsibilities upon the Union, including protection against external aggression and internal disturbance.

Question 36

The Supreme Court in *Gujarat Mazdoor Sabha* considered whether the COVID-related economic situation satisfied the statutory definition of:

- A. Public emergency
- B. Financial emergency under Article 360
- C. Armed rebellion
- D. War

Answer: A — Public emergency

Solution: The case specifically examined whether the COVID-related circumstances met the definition of “public emergency” under Section 5 of the Factories Act.

Question 37

Overtime protection for workers primarily serves:

- A. Worker welfare
- B. Corporate taxation
- C. Election administration
- D. Judicial appointments

Answer: A

Solution: Labour protections concerning working hours and overtime are designed to prevent exploitation and protect workers' health and welfare.

Question 38

The rule of law requires:

- A. Arbitrary governmental power
- B. Government action according to law
- C. Absolute executive supremacy
- D. No judicial review

Answer: B

Solution: Rule of law requires governmental power to be exercised according to legal and constitutional standards.

Question 39

A statutory exemption power must be exercised:

- A. Without regard to the statute
- B. Within the limits and purpose of the enabling statute
- C. Only for political purposes
- D. Without judicial scrutiny

Answer: B

Solution: Delegated statutory powers must remain within the limits imposed by the parent legislation and Constitution.

Question 40

The protection of just and humane conditions of work is reflected in:

- A. Directive Principles
- B. Fundamental Duties only
- C. Emergency provisions
- D. Election provisions

Answer: A — Directive Principles

Solution: Article 42 directs the State to make provision for securing **just and humane conditions of work**.

PART V — CRIMINAL PROCEDURE

Passage 5 — FIR & Cognizable Offences

The attached CLAT PG 2023 paper relied upon *Lalita Kumari v. Government of Uttar Pradesh* to test the mandatory registration of FIRs where information discloses a cognizable offence.

Question 41

FIR traditionally stands for:

- A. First Investigation Report
- B. First Information Report
- C. Final Investigation Record
- D. Formal Incident Register

Answer: B — First Information Report

Solution: FIR refers to the First Information Report concerning information relating to the commission of a cognizable offence.

Question 42

The landmark case on mandatory registration of FIR is:

- A. Lalita Kumari v. Government of Uttar Pradesh
- B. Kesavananda Bharati
- C. Maneka Gandhi
- D. Vishaka

Answer: A

Solution: *Lalita Kumari* established the principle that registration is mandatory where information discloses a cognizable offence, subject to recognised preliminary-inquiry situations.

Question 43

A cognizable offence generally permits police to:

- A. Arrest/investigate according to law without prior Magistrate's order
- B. Do nothing
- C. Conduct only civil proceedings
- D. Punish the accused directly

Answer: A

Solution: Cognizable offences confer statutory investigative powers upon police, subject to procedural safeguards.

Question 44

The genuineness of the information is ordinarily determined:

- A. Before every FIR is registered
- B. During investigation
- C. By Parliament
- D. By the Election Commission

Answer: B — During investigation

Solution: The *Lalita Kumari* principle distinguishes registration from subsequent investigation into the truthfulness or genuineness of the information.

Question 45

A preliminary inquiry may be appropriate in certain categories such as:

- A. Matrimonial disputes
- B. Certain corruption allegations
- C. Cases involving substantial delay
- D. All of the above

Answer: D — All of the above

Solution: *Lalita Kumari* recognised certain categories where a limited preliminary inquiry could be appropriate before FIR registration.

Question 46

A preliminary inquiry should be completed:

- A. Within seven days in every case
- B. Within fifteen days in every case
- C. Expeditiously, within the period indicated by the Supreme Court
- D. Only after trial

Answer: C

Solution: The Court directed that preliminary inquiry, where permissible, should be conducted expeditiously and not become a means of delaying registration.

Question 47

An FIR is generally:

- A. Substantive evidence of every fact stated in it
- B. Not substantive evidence by itself, though it may have evidentiary uses recognised by law
- C. A final judgment
- D. A confession in every case

Answer: B

Solution: FIR has limited evidentiary use, such as corroboration or contradiction under applicable rules; it is not automatically substantive evidence of all facts stated.

Question 48

The police investigation after registration of an FIR primarily seeks to:

- A. Determine facts and collect evidence
- B. Decide guilt finally
- C. Impose sentence
- D. Decide constitutional validity

Answer: A

Solution: Investigation involves collecting evidence, examining witnesses, inspecting relevant material and determining whether a prosecutable case exists.

Question 49

The Supreme Court in *Lalita Kumari* emphasised that registration should not ordinarily be delayed merely because:

- A. Police want to test the truthfulness of every allegation first
- B. The allegation is cognizable
- C. Investigation is required
- D. Evidence must later be collected

Answer: A

Solution: Where the information *ex facie* discloses a cognizable offence, the truthfulness of the allegation is ordinarily a matter for investigation.

Question 50

“Ex facie” broadly means:

- A. On the face of it
- B. After complete trial
- C. Beyond reasonable doubt
- D. By judicial precedent only

Answer: A

Solution: *Ex facie* means apparent or evident from the face of the matter.

PART VI — LAW OF EVIDENCE

Passage 6 — Electronic Evidence

The attached paper examined Sections 65A and 65B of the Indian Evidence Act through *Anwar P.V. v. P.K. Basheer* and *Arjun Panditrao Khotkar v. Kailash Kushanrao Gorantyal*. The passage distinguished the original electronic record from computer output and considered the certificate requirement.

Question 51

Section 65B of the Indian Evidence Act traditionally concerns:

- A. Electronic records
- B. Confessions
- C. Dying declarations
- D. Character evidence

Answer: A — Electronic records

Solution: Section 65B specifically dealt with admissibility of electronic records under the Evidence Act framework.

Question 52

The case *Anvar P.V. v. P.K. Basheer* is particularly important for:

- A. Electronic evidence
- B. Property transfers
- C. Divorce
- D. Constitutional amendments

Answer: A

Solution: *Anvar P.V.* established important principles concerning proof and admissibility of electronic records.

Question 53

The Supreme Court in *Arjun Panditrao Khotkar* reaffirmed the importance of:

- A. Section 65B requirements
- B. Section 54 TPA
- C. Article 356
- D. Section 13 Hindu Marriage Act

Answer: A

Solution: The judgment clarified the certificate requirement for secondary electronic evidence under the Evidence Act framework.

Question 54

Where the original electronic device itself is produced, the certificate under Section 65B(4):

- A. Is necessarily required in every case
- B. Is generally unnecessary for proving the original electronic record
- C. Can never be produced
- D. Converts the evidence into hearsay

Answer: B

Solution: The 2023 passage explains that when the original device containing the electronic record is produced, the Section 65B(4) certificate is generally unnecessary.

Question 55

A computer output containing information from an electronic record may be treated as:

- A. Secondary evidence subject to statutory requirements
- B. A constitutional provision
- C. Oral evidence
- D. A contract

Answer: A

Solution: Computer output is treated as electronic evidence subject to the statutory requirements governing admissibility.

Question 56

The principle that evidence must be authenticated means:

- A. Establishing its connection or genuineness as required by law
- B. Automatically accepting everything produced
- C. Destroying the original
- D. Rejecting electronic material

Answer: A

Solution: Authentication establishes that the evidence is what the party claims it to be.

Question 57

A Will generally requires attestation by:

- A. One witness
- B. Two witnesses
- C. Three witnesses
- D. No witness

Answer: B — Two witnesses

Solution: Section 63 of the Indian Succession Act prescribes execution requirements for an unprivileged Will, including attestation by two or more witnesses.

Question 58

Section 68 of the Evidence Act traditionally concerns:

- A. Proof of execution of documents required by law to be attested
- B. Electronic contracts only
- C. Confessions only
- D. FIR registration

Answer: A

Solution: Section 68 deals with proving execution of documents that are legally required to be attested.

Question 59

Section 71 becomes relevant when:

- A. An attesting witness denies or does not recollect execution
- B. No document exists
- C. A contract is frustrated
- D. A person is arrested

Answer: A

Solution: Section 71 provides an alternative mode of proving execution where an attesting witness denies or does not recollect execution.

Question 60

A judgment declared “per incuriam” is generally one rendered:

- A. In ignorance of a binding precedent or applicable binding law
- B. By a lower court only
- C. With unanimous consent
- D. By Parliament

Answer: A

Solution: *Per incuriam* broadly means a decision rendered in disregard of a binding legal provision or precedent.

PART VII — JURISPRUDENCE

Passage 7 — Law, Politics & Interpretation

The attached CLAT PG 2023 paper included a jurisprudential passage discussing two ways of understanding law-making: the **partisan model** and

the **neutral model**. The passage was drawn from Jeremy Waldron's *The Law*.

Question 61

The command theory of law is associated with:

- A. John Austin
- B. H.L.A. Hart
- C. Ronald Dworkin
- D. Savigny

Answer: A — John Austin

Solution: Austin's analytical theory describes law in terms of commands of the sovereign backed by sanctions.

Question 62

H.L.A. Hart distinguished between:

- A. Primary and secondary rules
- B. Civil and criminal courts
- C. Public and private property
- D. State and Union law

Answer: A

Solution: Hart's theory explains a legal system through **primary rules** and **secondary rules**.

Question 63

Hart's rule of recognition concerns:

- A. Criteria for identifying valid legal rules
- B. Criminal punishment

- C. Contractual consideration
- D. Property ownership

Answer: A

Solution: The rule of recognition provides the ultimate social criteria for determining legal validity within a legal system.

Question 64

Savigny's historical school emphasised:

- A. Volksgeist
- B. Sovereign command
- C. Judicial activism only
- D. Economic efficiency

Answer: A — Volksgeist

Solution: Savigny viewed law as organically developing from the spirit and historical consciousness of a people.

Question 65

Roscoe Pound is associated with:

- A. Sociological jurisprudence
- B. Pure theory of law
- C. Command theory
- D. Divine law theory

Answer: A

Solution: Pound described law as an instrument of **social engineering**.

Question 66

Hans Kelsen's theory is commonly known as:

- A. Pure Theory of Law
- B. Historical School
- C. Sociological School
- D. Realist School

Answer: A

Solution: Kelsen developed the **Pure Theory of Law**, analysing law as a hierarchical normative system.

Question 67

Ronald Dworkin famously distinguished:

- A. Rules and principles
- B. Crimes and torts
- C. Public and private companies
- D. Wills and trusts

Answer: A

Solution: Dworkin argued that legal reasoning involves both rules and principles.

Question 68

Natural law theories generally recognise a relationship between:

- A. Law and morality
- B. Law and weather
- C. Law and geography alone
- D. Law and taxation only

Answer: A

Solution: Natural law theories generally maintain that morality has an important relationship with legal validity or legitimacy.

Question 69

The “partisan model” of law-making emphasises:

- A. Political ideology and party interests in legislation
- B. Complete judicial neutrality
- C. Absence of politics
- D. Only customary law

Answer: A

Solution: As the 2023 passage explains, the partisan model sees legislative decisions as significantly influenced by political ideology and party interests.

Question 70

The “neutral model” treats legislation as:

- A. Merely a private party document
- B. A norm enacted in the name of the community as a whole
- C. An executive order
- D. A judicial decree

Answer: B

Solution: The neutral model emphasises the institutional character of legislation as an act of Parliament made in the name of society as a whole.

PART VIII — SECURITIES / COMPANY LAW

Passage 8 — Insider Trading

The 2023 CLAT PG paper examined insider trading through *SEBI v. Abhijit Rajan*. The passage discussed unpublished price-sensitive information (UPSI), profit motive and the circumstances in which shares were sold.

Question 71

UPSI stands for:

- A. Unpublished Price Sensitive Information
- B. United Public Securities Investigation
- C. Unregistered Public Share Information
- D. Uniform Price Securities Index

Answer: A

Solution: UPSI means **Unpublished Price Sensitive Information**.

Question 72

The regulator primarily associated with securities markets in India is:

- A. SEBI
- B. RBI only
- C. TRAI
- D. UPSC

Answer: A — SEBI

Solution: The Securities and Exchange Board of India regulates India's securities market under its statutory framework.

Question 73

The current principal regulations governing insider trading in India are:

- A. SEBI PIT Regulations, 2015
- B. Companies Act, 1956 alone
- C. FEMA Regulations
- D. Consumer Protection Rules

Answer: A

Solution: The **SEBI (Prohibition of Insider Trading) Regulations, 2015** govern insider trading. The 2023 paper itself asked candidates to distinguish these from the older 1992 Regulations.

Question 74

Insider trading primarily concerns dealings in securities while possessing:

- A. UPSI
- B. A passport
- C. A tax receipt
- D. A property deed

Answer: A — UPSI

Solution: Insider trading rules address trading or communication involving unpublished price-sensitive information under the applicable regulations.

Question 75

The phrase “price sensitive” refers to information likely to:

- A. Materially affect the price of securities
- B. Affect only employee salaries
- C. Affect court jurisdiction
- D. Affect property registration

Answer: A

Solution: Price-sensitive information is information likely to materially affect the price of securities.

Question 76

The judgment discussed in the attached 2023 paper was:

- A. SEBI v. Abhijit Rajan
- B. SEBI v. Sahara only
- C. Kesavananda Bharati
- D. Lalita Kumari

Answer: A

Solution: The 2023 passage specifically identified *Securities and Exchange Board of India v. Abhijit Rajan*.

Question 77

According to the passage, the respondent sold shares because he needed to:

- A. Honour a Corporate Debt Restructuring package
- B. Buy another company
- C. Pay a criminal fine
- D. Purchase property abroad

Answer: A

Solution: The passage states that the respondent's explanation was connected with honouring a **Corporate Debt Restructuring (CDR) package**.

Question 78

The cancellation of the relevant shareholders' agreements resulted in:

- A. An increase in the closing share price after disclosure
- B. Complete delisting
- C. No price movement
- D. Automatic liquidation

Answer: A

Solution: The passage states that the closing price rose after disclosure of the information.

Question 79

“Mens rea” generally means:

- A. Guilty mind or required mental element
- B. Physical possession
- C. Written contract
- D. Judicial notice

Answer: A

Solution: *Mens rea* refers generally to the mental element required for criminal or regulatory liability, depending upon the applicable law.

Question 80

The corporate form involving a separate legal personality was famously recognised in:

- A. Salomon v. Salomon & Co.
- B. Donoghue v. Stevenson
- C. Rylands v. Fletcher
- D. Carlill v. Carbolic Smoke Ball Co.

Answer: A

Solution: *Salomon v. Salomon & Co.* is the classic authority for separate corporate personality.

PART IX — CONTRACT LAW

Passage 9 — Interpretation of Contracts

The attached CLAT PG 2023 paper included a contractual dispute involving the Food Corporation of India and examined contextual interpretation, liquidated damages, Section 73 and latent ambiguity.

Question 81

Section 73 of the Indian Contract Act concerns:

- A. Compensation for loss caused by breach of contract
- B. Formation of companies
- C. Transfer of property
- D. Criminal conspiracy

Answer: A

Solution: Section 73 provides for compensation for loss or damage caused by breach of contract.

Question 82

A contract is generally:

- A. An agreement enforceable by law
- B. Every promise
- C. Every social arrangement
- D. Every moral obligation

Answer: A

Solution: Section 2(h) of the Indian Contract Act defines a contract as an **agreement enforceable by law**.

Question 83

Consideration must generally be given:

- A. At the desire of the promisor
- B. At the desire of a stranger
- C. Only by the government
- D. After litigation

Answer: A

Solution: Section 2(d) requires consideration to be an act, abstinence or promise done at the **desire of the promisor**.

Question 84

A minor's agreement is generally:

- A. Void
- B. Valid in all circumstances
- C. Voidable only by the adult
- D. Criminal

Answer: A — Void

Solution: Under *Mohori Bibee v. Dharmodas Ghose*, a minor's agreement is generally void.

Question 85

A counter-offer:

- A. Is unconditional acceptance
- B. Generally rejects or varies the original offer
- C. Always creates a contract
- D. Is identical to consideration

Answer: B

Solution: A counter-offer introduces different terms and therefore does not constitute unconditional acceptance.

Question 86

The doctrine of frustration is associated principally with:

- A. Section 56
- B. Section 73
- C. Section 10
- D. Section 2(d)

Answer: A — Section 56

Solution: Section 56 deals with impossibility or subsequent unlawfulness affecting contractual performance.

Question 87

Liquidated damages are generally:

- A. A pre-agreed sum payable upon breach, subject to applicable law
- B. Always punitive damages
- C. Criminal fines
- D. Court fees

Answer: A

Solution: Liquidated damages refer to an amount stipulated in advance in relation to breach, subject to statutory limitations and judicial assessment.

Question 88

“Latent ambiguity” means:

- A. An ambiguity not apparent on the face of the document but arising in its application/context
- B. No ambiguity
- C. An illegal contract
- D. A criminal offence

Answer: A

Solution: Latent ambiguity emerges from the application of apparently clear language to the surrounding facts or circumstances.

Question 89

“Ex praecedentibus et consequentibus optima fit interpretatio” broadly means:

- A. The best interpretation is derived from context
- B. An exception proves the rule
- C. No action arises from an immoral contract
- D. The thing speaks for itself

Answer: A

Solution: The expression emphasises interpretation by considering the surrounding context, preceding and succeeding provisions. The 2023 paper used this expression in its contract-interpretation passage.

Question 90

A contextual approach to contractual interpretation means:

- A. Reading words entirely in isolation
- B. Understanding contractual language in its overall context
- C. Ignoring the contract
- D. Automatically favouring one party

Answer: B

Solution: Contextual interpretation considers the contract as a whole and the relevant factual and contractual setting.

PART X — INTELLECTUAL PROPERTY & CORPORATE SOCIAL RESPONSIBILITY

Passage 10 — Trademark, Passing Off & CSR

The attached CLAT PG 2023 paper concluded with passages concerning trademark infringement involving the mark **M-SEAL**, deceptive similarity, passing off and CSR under the Companies Act, 2013.

Question 91

The principal legislation governing trademarks in India is:

- A. Trade Marks Act, 1999
- B. Copyright Act, 1957
- C. Patents Act, 1970
- D. Designs Act, 2000 only

Answer: A — Trade Marks Act, 1999

Solution: The Trade Marks Act, 1999 governs registration and protection of trademarks in India.

Question 92

Trademark infringement under Section 29 primarily concerns:

- A. Infringing use of a registered trademark in circumstances specified by the Act
- B. Every use of a word
- C. Every copyright violation
- D. Property possession

Answer: A

Solution: Section 29 identifies circumstances in which use of a registered mark constitutes infringement.

Question 93

A mark that is deceptively similar to another mark may create:

- A. Trademark infringement
- B. Constitutional amendment
- C. Easement
- D. Mortgage

Answer: A

Solution: Deceptive similarity can form an important element in trademark infringement depending on the statutory conditions.

Question 94

The classical trinity of passing off consists broadly of:

- A. Goodwill, misrepresentation and damage
- B. Offer, acceptance and consideration
- C. Duty, breach and causation
- D. Actus reus, mens rea and punishment

Answer: A

Solution: The classical trinity is **goodwill, misrepresentation and damage**, associated with *Reckitt & Colman Products Ltd. v. Borden Inc.*

Question 95

Passing off primarily protects:

- A. Goodwill and business reputation
- B. Criminal defendants
- C. Government property
- D. Parliamentary privilege

Answer: A

Solution: Passing off protects the goodwill and reputation of a business against deceptive representations.

Question 96

The test of deceptive similarity generally requires consideration of:

- A. Overall/common features and likelihood of confusion
- B. Only the number of letters
- C. Only colour
- D. Only price

Answer: A

Solution: Courts examine the marks as a whole and consider factors relevant to the likelihood of confusion or deception. The attached paper specifically referred to focusing on common features.

Question 97

The Companies Act, 2013 contains statutory provisions concerning:

- A. Corporate Social Responsibility
- B. Criminal evidence exclusively
- C. Constitutional emergencies
- D. Marriage registration

Answer: A

Solution: The Companies Act, 2013 establishes India's statutory CSR framework for qualifying companies.

Question 98

CSR activities are linked to:

- A. Schedule VII of the Companies Act
- B. Schedule I of the Constitution
- C. Article 123 alone
- D. Transfer of Property Act

Answer: A — Schedule VII

Solution: Schedule VII specifies the areas or subjects that may qualify as CSR activities.

Question 99

Which of the following is NOT normally a Schedule VII CSR activity?

- A. Promoting education
- B. Rural development
- C. Eradicating hunger and poverty
- D. Maintaining law and order

Answer: D — Maintaining law and order

Solution: The 2023 CLAT paper itself used “maintenance of law and order” as the option that was not specified as a Schedule VII CSR activity.

Question 100

The CSR framework is associated with the principle of:

- A. Trusteeship and giving back to society
- B. Absolute shareholder profit maximisation
- C. Judicial supremacy over Parliament
- D. Strict liability

Answer: A

Solution: The 2023 paper's CSR passage expressly connected the philosophy of CSR in India with **Gandhian principles of trusteeship and giving back to society.**

MASTER ANSWER KEY — 100 QUESTIONS

Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	B	26	B	51	A	76	A
2	B	27	C	52	A	77	A
3	C	28	B	53	A	78	A
4	B	29	A	54	B	79	A
5	C	30	A	55	A	80	A
6	A	31	A	56	A	81	A
7	A	32	B	57	B	82	A
8	B	33	A	58	A	83	A
9	C	34	B	59	A	84	A
10	B	35	A	60	A	85	B
11	B	36	A	61	A	86	A
12	A	37	A	62	A	87	A
13	C	38	B	63	A	88	A
14	B	39	B	64	A	89	A
15	A	40	A	65	A	90	B
16	A	41	B	66	A	91	A
17	B	42	A	67	A	92	A
18	B	43	A	68	A	93	A
19	B	44	B	69	A	94	A
20	A	45	D	70	B	95	A
21	B	46	C	71	A	96	A
22	B	47	B	72	A	97	A

Q	Ans	Q	Ans	Q	Ans	Q	Ans
23	A	48	A	73	A	98	A
24	A	49	A	74	A	99	D
25	B	50	A	75	A	100	A

How this should be used for RRC Academy

This paper deliberately follows the **2023 CLAT PG style of passage** → **legal proposition** → **MCQs** → **application/interpretation**, rather than making all 100 questions simple bare-act questions. The actual 2023 paper used this approach repeatedly—for example, questions 1–10 were based on the Sabarimala judgment, 11–20 on the Ordinance judgment, 41–50 on *Lalita Kumari*, 51–60 on electronic evidence, and 71–78 on insider trading.